

Attachment 2

STANDARD COMMERCIAL SPONSORSHIP AGREEMENT

Figure A2.1. Standard Commercial Sponsorship Agreement.

Sponsorship Agreement # _____ 1. This is a commercial sponsorship agreement describing the responsibilities of the participants for sponsorship support and recognition between the Morale, Welfare and Recreation (MWR) Fund at _____, a nonappropriated fund instrumentality (NAFI) of the Air Force, and the sponsor identified below. 2. The above-named nonappropriated fund instrumentality plans to conduct _____ at _____ on _____. 3. The activity responsible for inspection and acceptance of the sponsorship provided under this agreement is _____ _____. 4. The sponsor and person representing the sponsor are as follows: (Sponsor company name, and contact information) _____ _____ _____ 5. Sponsor will provide financial and/or in-kind sponsorship support for the activity, event, or program and receive recognition and limited advertising privileges prior to and during this event. The sponsor will furnish the following at the dollar values indicated to the nonappropriated fund instrumentality under the terms and conditions of this agreement: _____ _____ _____ _____ 6. The terms of this agreement are in effect from _____ to _____. 7. The nonappropriated fund instrumentality will provide the following recognition, advertising, and other benefits to/for the sponsor: _____ _____ _____
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8. Total value of the sponsorship is _____. Sponsor will make any checks payable to, and deliver them and any in-kind sponsorship to, the nonappropriated fund instrumentality by _____ at _____.

9. Terms of Understanding. Additional terms of this agreement are outlined below and the parties, by their signatures, certify their understanding and agreement to the following:

a. The sponsor will relinquish all ownership rights to any cash or other property provided (unless there are no-cost lease provisions noted in paragraph 5) and will not charge any costs of sponsorship to any part of the Federal Government. Sponsorship provided is for the activity, event, or program sponsored; however, the sponsor agrees any cash or property left over may be redirected to other programs as determined by the _____

(e.g., Air Force Services Activity Commander, Force Support Squadron Commander, Civilian Director, as appropriate/applicable).

b. The sponsor will not use the insignia of the U.S. Air Force, including the initials "USAF," or the seal, emblem, or any other reference to any part of the Federal Government as an incidental benefit of this sponsorship. The sponsor may not prepare materials incorporating its name into the title of the event.

c. The sponsor and applicable Force Support Squadron will include or add the official disclaimer "No Federal endorsement of sponsor(s) intended" to all recognition/advertising media and other promotional materials produced and provided in connection with the event which references the sponsor to avoid the appearance of Federal endorsement. The sponsor will not use any reference to being an "official" vendor, product, or service of the sponsored event or any part of the Federal Government (e.g., "The official soft drink of the tournament"). Any reference implying endorsement is prohibited.

d. The sponsor will submit examples of all sponsor-provided recognition/advertising media, including samples of promotional items for prior review and approval in advance of the event, on _____ to allow for review for conformance with Air Force guidelines for promoting and conducting the event. The sponsor will not use its sponsorship in any advertising not addressed in this agreement without written permission from appropriate approval authority.

e. This agreement does not provide any television, radio, movie, or video recording or resale rights without prior written approval of the Secretary of the Air Force Office of Public Affairs (SAF/PA).

f. Recognition/publicity of the sponsor will be limited to those actions specifically authorized in this agreement. The sponsor may not be given any special concessions or other favored treatment beyond what is outlined in this written agreement.

g. The sponsor will not distribute to military personnel or other participants any premiums, samples, or giveaways with a retail value in excess of \$20 per family (no alcohol or tobacco samples regardless of retail value). Any items valued over \$20 must be donated to the _____ Morale, Welfare and Recreation Fund and distributed by the nonappropriated fund instrumentality.

h. No assignment by the sponsor, assigning its rights or delegating its obligations under this agreement, will be effective and binding on the nonappropriated fund instrumentality until the written terms of the assignment have been approved in writing by the nonappropriated fund instrumentality representative.

i. No party will be responsible for events beyond its reasonable control, such as acts of God, weather delays, events of national emergency, etc. If the event is postponed due to one of the above, it may be rescheduled or cancelled at the discretion of the nonappropriated fund instrumentality. If the event is rescheduled, the terms of this agreement will only extend to the revised event if agreed to by both parties hereto.

j. This agreement may be terminated by mutual agreement of the parties at any time, and it may be amended by written agreement of the parties and approval by the approval/acceptance authority.

k. The sponsor agrees to allow pictures and narrative descriptions of its sponsorship support to be published for the purpose of informing the public of its support and to illustrate sponsorship recognition in materials publicizing the commercial sponsorship program to other prospective sponsors.

Sponsor and nonappropriated fund instrumentality Representative (*Include titles and signature line*)

Approval/Acceptance Authority (*Include titles and signature line*)

OPTIONAL CLAUSES

The following are approved optional clauses. Any changes to the agreement format or use of optional clauses require prior approval by installation Judge Advocate and Air Force Services Activity.

Optional Clause

The alcohol product sponsor named in this agreement certifies it has sponsored similar events in a civilian community and the offered sponsorship will include the use of responsible consumption materials and Surgeon General's warnings. Similar events were conducted as follows:

_____ (Date) _____ (Event) _____ (Location) _____.

Optional Clause

The sponsor named in this agreement certifies it will not promote any financial services which compete with the on-installation financial institution(s).

Optional Clause

The nonappropriated fund instrumentality will also provide an after-action report to include exposure, media coverage, and any appropriate statistical information within _____ days after event.

Optional Clause

The sponsor will be granted the first right of refusal for any similar activity, event, or program within the next year. The first right of refusal entitles the current sponsor to match, or exceed, a proposal made by a third party seeking sponsorship of the event. The current sponsor may elect not to exercise this first right of refusal. If the current sponsor does not match or exceed the bona fide offer of the third party, the sponsorship rights may be awarded to the third party.

Optional Clause

The sponsor will not conduct any on-site business transactions with event attendees.

Justification: Not previously provided and reinforces the restriction when the commercial sponsorship agreement is being signed.

Optional Clause

The sponsor shall indemnify, hold and save harmless, and defend the nonappropriated fund instrumentality, its outlets and customers from any liability, claimed or established for violation or infringement of any patent, copyright, or trademark rights asserted by any third party with respect to goods or services provided as sponsorship. The sponsor further agrees to hold the nonappropriated fund instrumentality harmless from all claims or judgments for damages resulting from the use of goods or services provided as sponsorship, except for such claims or damages caused by, or resulting from the negligence of nonappropriated fund instrumentality customers, employees, agents, or representatives. Also, the sponsor shall at all times hold and save harmless the nonappropriated fund instrumentality, its agents, representatives, and employees from any and all suits, claims, charges, and expenses which arise out of acts or omissions of the sponsor, its agents, representatives, or employees.

Optional Clause

Sponsor will provide proof of liability insurance that is current and in effect that has the following minimum amounts of liability coverages:

____\$ Per occurrence (For example \$ 500,000 to \$1 million)

____\$ Medical Payments - any one person (For example \$50,000.)

Optional Clause

In the event either party fails to perform or endangers performance of any element of this agreement, the other party may terminate this agreement for default. In the event of a default termination, the party at fault will be responsible for reimbursing the other party for any costs expended by the party not responsible for the default in anticipation of good-faith performance. Reputation and good will are not basis for damages. If one party disputes the reasons for default or the damages associated with a default termination, the parties will participate in arbitration by a neutral third party. The party at fault for the default will bear the costs for the arbitration. The arbitration will be binding on the parties and there may be no appeal to any other forum of the decision of the arbitrator. Mediation may also be entered upon mutual agreement.

Optional Clause

The nonappropriated fund instrumentality may also terminate for convenience in any instance where the sponsorship is no longer deemed to be within the best interest of the nonappropriated fund instrumentality. In the event of such termination, the nonappropriated fund instrumentality intends to immediately cease any sponsor affiliation, without reimbursement to the sponsor. The nonappropriated fund instrumentality will not be responsible for any additional costs in the event of a termination for convenience. The sponsor will have the funds or property provided returned if the event is cancelled or delayed, or at the option of the nonappropriated fund instrumentality, will be accorded the sponsor recognition described above if and when the activity, event, or program is subsequently rescheduled and conducted.

Optional Clause

The sponsor will be afforded the opportunity to rent a hospitality tent (subject to availability) if they are an approved element of the Air Force Open House plan. The fee will be determined by the size and location of the tent in addition to any services provided to accommodate guests (e.g., catered food and beverage, tables, chairs, lighting and comfort stations, etc.). Details will be provided in attached Addendum.

Optional Clause (This clause may be modified for use to protect brand logos/images for any sponsor.) Trademark License. Sponsor grants the nonappropriated fund instrumentality a royalty-free, non-exclusive license to use and display the Trademarks associated with the Sponsor's products. Such use shall be limited solely to the sponsorship of the events and any advertising or promotional activities related to this agreement and all placements must be approved by the Sponsor prior to use. The use of sponsor's trademarks or company name will not be used in a way which would cause any person to reasonably infer, or would otherwise convey the impression, that the nonappropriated fund instrumentality and sponsor are in any way affiliated with, or otherwise acting on behalf of one of the other parties. Sponsor and nonappropriated fund instrumentality acknowledge that the provisions of this paragraph do not convey to either party any right, title or ownership interest in any trademarks. Sponsor will review and approve trademark and logo used for advertisement. Sponsor's name, logo and trademark will remain its exclusive property and any use by nonappropriated fund instrumentality of such name, logo and trademark shall be for the Sponsor's benefit. Except as

expressly provided herein, neither party shall have the right to use the corporate or trade name, trademarks, services marks, logos or other identification of the other party without the party's prior written consent.

Logo Placement:

- Multiple Sponsor Placement: It is permissible for the Sponsor logo to be grouped with multiple sponsors. In that instance, the logo should be proportionally sized along with the other logos.
- Stand-alone Sponsor Logo Placement: The Sponsor logo can be placed on the front left chest, sleeve or upper back of neck if there are no other competing graphics (e.g. event logo or image). When competing graphic elements are being used on the front, place the stand-alone logo either on the sleeve or below the collar line near the upper back neck. Liability of Officers and Directors. The nonappropriated fund instrumentality acknowledges that this Agreement is an obligation of Sponsor, and agrees that no personal liability shall extend to any officer, director, member, agent or employee of Sponsor. Sponsor acknowledges that this Agreement is an obligation of the nonappropriated fund instrumentality, and agrees that no personal liability shall extend to any officer, director, member, agent or employee of the nonappropriated fund instrumentality.